

25SMCV05874 25SMCV05874

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TENTATIVE RULING

DEPARTMENT

207

HEARING DATE

July 21, 2026

CASE NUMBER

25SMCV05874

MOTION

Demurrer to Complaint

MOVING PARTY

Defendant Giancarlo Marcaccini

OPPOSING PARTY

Plaintiff Dorothea Schiro

MOTION

This lawsuit arises from a dispute
over the entitlement to proceeds from the sale of real property.

On November 7, 2025, Plaintiff Dorothea Schiro ("Plaintiff") filed
suit against Defendants Commonwealth Land Title Insurance Company
("Commonwealth"); Peninsula Escrow, Inc. ("Peninsula"); Giancarlo Marcaccini
("Marcaccini"); and Nourmand and Associates ("Nourmand") (together,
"Defendants") alleging six causes of action for (1) quiet title/declaratory
relief; (2) constructive trust and accounting; (3) conversion; (4) breach of
fiduciary duty; (5) negligence/negligent misrepresentation; and (6) fraud and
aiding and abetting.

The Fourth and Fifth causes of action are alleged against Commonwealth
and Peninsula only.

On January 30, 2026, Peninsula
cross-complained in interpleader against Cross-Defendants Ocean Towers Housing
Corp. ("Ocean Towers"); John Spahi, individually and as trustee of the John
Spahi Family Trust Dated August 1, 2012 ("Spahi"); Gelato Trust (2015)
("Gelato"); and Dorothea Schiro ("Schiro") (together, "Cross-Defendants").

Marcaccini now demurs to the Complaint (First, Second, Third, and
Sixth Causes of Action) on the grounds that it fails to state facts sufficient
to constitute a cause of action and is uncertain, pursuant to Code of Civil
Procedure, section 430.10, subdivisions (e) and (f), respectively.

Plaintiff opposes the demurrer and Maraccini replies.

REQUEST FOR JUDICIAL NOTICE

Marcaccini requests judicial notice
of the Quit Claim Deed dated June 24, 2025.

Courts can take judicial
notice of the existence and recordation of real property records, including
deeds, if authenticity is not reasonably disputed. (Fontenot v. Wells Fargo Bank, N.A.
(2011) 198 Cal.App.4th 256, 264-265.)
"The official act of recordation and the common use of a notary public
in the execution of such documents assure their reliability, and the

maintenance of the documents in the recorder's office makes their existence and text capable of ready confirmation, thereby placing such documents beyond reasonable dispute." (Ibid.) Moreover, courts can take judicial notice not only of the existence and recordation of recorded documents but also matters that can be deduced from the documents, including the parties, dates, and legal consequences of recorded documents relating to real estate transactions. (Ibid.)

Therefore, the Court takes judicial notice of the existence, recordation, and legal consequences of the Quit Claim Deed dated June 24, 2025.

ANALYSIS

1.

DEMURRER

"It is black letter law that a demurrer tests the legal sufficiency of the allegations in a complaint." (Lewis v. Safeway, Inc. (2015) 235 Cal.App.4th 385, 388.) In testing the sufficiency of a cause of action, a court accepts "[a]s true all material facts properly pled and matters which may be judicially noticed but disregard contentions, deductions or conclusions of fact or law. [A court also gives] the complaint a reasonable interpretation, reading it as a whole and its parts in their context." (290 Division (EAT), LLC v. City & County of San Francisco (2022) 86 Cal.App.5th 439, 450 [cleaned up]; Hacker v. Homeward Residential, Inc. (2018) 26 Cal.App.5th 270, 280 ["in considering the merits of a demurrer, however, "the facts alleged in the pleading are deemed to be true, however improbable they may be"].)

Further, in ruling on a demurrer, a court must "liberally construe" the allegations of the complaint "with a view to substantial justice between the parties." (See Code Civ. Proc., § 452.) "This rule of liberal construction means that the reviewing court draws inferences favorable to the plaintiff, not the defendant." (Perez v. Golden Empire Transit Dist. (2012) 209 Cal.App.4th 1228, 1238.)

In summary, "[d]etermining whether the complaint is sufficient as against the demurrer on the ground that it does not state facts sufficient to constitute a cause of action, the rule is

that if on consideration of all the facts stated it appears the plaintiff is entitled to any relief at the hands of the court against the defendants the complaint will be held good although the facts may not be clearly stated, or may be intermingled with a statement of other facts irrelevant to the cause of action shown, or although the plaintiff may demand relief to which he is not entitled under the facts alleged." (Gressley v. Williams (1961) 193 Cal.App.2d 636, 639.)

A.

UNCERTAINTY

"[D]emurrers for uncertainty are disfavored." (Lickiss v. Financial Industry Regulatory Authority (2012) 208 Cal.App.4th 1125, 1135.) "A demurrer for uncertainty will be sustained only where the pleading is so bad that the responding party cannot reasonably respond - i.e., [a party] cannot reasonably determine what issues must be admitted or denied, or what counts or claims are directed against [the party]." (Weil & Brown, Cal. Practice Guide: Civil Procedure Before Trial (The Rutter Group 2026) ¶ 7:85, p. 45, emphasis in original.)

As such, where a demurrer is made upon the ground of uncertainty, the demurrer must distinctly specify exactly how or why the pleading is uncertain, and where such uncertainty appears by reference to page and line numbers. (See Fenton v. Groveland Comm. Services Dist. (1982) 135 Cal.App.3d 797, 809 ["Generally, the failure to specify the uncertain aspects of a complaint will defeat a demurrer based on the grounds of uncertainty"].)

Marcaccini demurs to the second, third, and sixth causes of action on the ground that the allegations conflate the conduct of multiple defendants, and therefore Marcaccini cannot discern what issues must be admitted or denied or what allegations are being directed at him.

Plaintiff alleges:

13. The creation of Gelato Trust (2005). The Gelato Trust was established to hold

cooperative apartment interests at Ocean Towers, including Unit 703B, divided equally among Dorina Schiro, Giancarlo Marcaccini, and John Spahi.

14.

Removal of Marcaccini (2008). By instrument dated March 20, 2008, Spahi removed Marcaccini as trustee and accepted full fiduciary control. The removal was communicated to Marcaccini and acknowledged by him.

15.

Property Interest. The Gelato Trust owned a one-third beneficial share in Unit 703B, Ocean Towers Housing Corp., Brentwood Building, as described in Lease Instrument No. 78-1298546 (Los Angeles County Records).

16.

Escrow Sale (2025). In 2025, the co-owners initiated sale of Unit 703B. Commonwealth acted as title insurer; Peninsula Escrow, Eddie Sayles officered the escrow.

17. Title

Directive. During clearance, Commonwealth advised Sayles that escrow "cannot close without a quitclaim from Giancarlo Marcaccini." This directive presumed Marcaccini still held trustee authority.

18. Title

Directive. During clearance, Commonwealth advised Sayles that escrow "cannot close without a quitclaim from Giancarlo Marcaccini." This directive presumed Marcaccini still held trustee authority.

19. Recording

of Void Quitclaim Deed. Relying on Commonwealth's instruction, Peninsula obtained Marcaccini's signature on a quitclaim purporting to convey Gelato Trust interests. Commonwealth recorded it, clearing title for closing.

20. Disbursement

and Payoff. At closing, Marcaccini's loan payoff was funded; \$78,167 representing Schiro's 33 1/3 % interest was retained in escrow "pending resolution."

21. Title

Admission. In its October 21, 2025, letter, Commonwealth admitted: "The

grantor in the deed assigning the proprietary leasehold ... is John Spahi, who the Company (Commonwealth) understands is the current trustee for the Gelato Trust." This admission confirms Commonwealth knew Marcaccini lacked authority.

22. Continuing

Refusal. Despite demands (October 21 & 23, 2025) and submission of a verified proof of loss, Commonwealth and Peninsula refuse to release Plaintiffs funds.

23. Resulting

Damage. Plaintiff has suffered loss of \$78,167 plus interest, attorneys' fees, and the clouding of her title and reputation.

32. At

all relevant times, the escrowed sum of \$78,167 constituted Plaintiff's one-third beneficial share of the sale proceeds from Unit 703B, Ocean Towers Housing Corporation. Those funds were segregated and held by Peninsula Escrow, Inc. at the direction of Commonwealth Land Title Insurance Company, which instructed that no distribution be made to Plaintiff pending resolution of title issues it had itself created. Under Civil Code § 2224, any person who gains a thing by fraud, accident, or mistake, or who in any manner obtains property of another without legal justification, becomes an involuntary trustee of the property for the benefit of the rightful owner. Defendants' possession of Plaintiff's funds, obtained through the fraudulent quitclaim and their own negligent or willful acts, gives rise to such a constructive trust.

33. Defendant

Giancarlo Marcaccini, having been removed as trustee in 2008, procured the recording of a void quitclaim deed in 2025 to enable payoff of his personal loan secured by the property. In reliance upon and participation in that act, Commonwealth directed Peninsula to accept and record the invalid deed, clear title, and close the escrow. By doing so, Commonwealth and Peninsula each benefited from the transaction through the collection of title-insurance premiums, escrow fees, and related charges, while knowingly depriving Plaintiff of her rightful proceeds. Their retention and use of those proceeds constitute unjust enrichment and render them constructive trustees under California equity principles.

34. Equity

demands that a constructive trust be imposed upon the \$78,167 and all interest or profits derived therefrom for the benefit of Plaintiff, and that Defendants be compelled to provide a full accounting of all funds received, disbursed, or retained in connection with the sale of Unit 703B. Absent such relief, Defendants will continue to be unjustly enriched at Plaintiffs expense, and the purposes of Civil Code § 2224 and fundamental equity will be defeated.

36. The

escrowed sum of \$78,167 was and is specifically identifiable, derived from the closing statement for the sale of Unit 703B and representing Plaintiffs one-third beneficial share of trust proceeds. Defendants Peninsula Escrow, Inc. and Commonwealth Land Title Insurance Company, acting jointly, took possession and control of those funds at the close of escrow and have since wrongfully retained them. At the time of closing, Giancarlo Marcaccini caused his personal debt to be paid from the same escrow account through the fraudulent quitclaim deed he executed at Peninsula's request. By so directing disbursement and withholding the remaining proceeds, each Defendant intentionally and wrongfully exercised dominion over property belonging to Plaintiff in a manner inconsistent with her immediate right to possession and use of those funds.

37. The

funds were held by Peninsula in trust and subject to Plaintiff's demand. Once Commonwealth and Peninsula received actual notice that Marcaccini had been removed as trustee and that Plaintiff's share was being withheld without authority, they were obligated to release or interplead the proceeds. Their refusal to do either while continuing to hold the money under Commonwealth's directive constitutes a distinct act of conversion. Under California law, a plaintiff need not prove wrongful intent where a defendant withholds money to which the plaintiff has an immediate right of possession. (*Fremont Indemnity Co. v. Superior Court* (1982) 137 Cal.App.3d 554, 558.)

38. As a

direct and proximate result of Defendants' wrongful dominion and refusal to release the escrowed proceeds, Plaintiff has sustained economic loss in the principal amount of \$78,167, together with accrued interest from the date of closing, loss of use of her property, and incidental damages according to proof at trial. Plaintiff therefore seeks compensatory damages, prejudgment interest, and such further relief as equity and justice require.

53. Primary

Fraud by Marcaccini. Defendant Giancarlo Marcaccini falsely represented, both orally and in writing, that he was the acting trustee of the Gelato Trust and possessed authority to execute a quitclaim deed relinquishing the Trust's interest in Unit 703B. He knew this representation was false, having been formally removed as trustee by written instrument on March 20, 2008. Marcaccini executed the 2025 quitclaim deed for the purpose of causing title to be cleared and enabling the payoff of his personal mortgage loan from escrow proceeds. His misrepresentation was deliberate, material, and made with intent to deceive both the title insurer and escrow holder so the sale could close.

54. Aiding

and Abetting by Commonwealth and Peninsula. Defendants Commonwealth Land Title Insurance Company and Peninsula Escrow, Inc. each possessed actual knowledge that Marcaccini lacked authority. Commonwealth's own title file and trust documentation identified John Spahi as the recorded trustee. Nevertheless, Commonwealth instructed Peninsula to obtain and record the quitclaim, and Peninsula did so without independent verification. Both defendants substantially assisted Marcaccini's wrongful conduct by processing and recording the fraudulent instrument, issuing title clearance, disbursing escrow funds to satisfy his loan, and retaining Plaintiffs share under the guise of a "title requirement." This conduct satisfies the aiding-and-abetting standard articulated in *Casey v. U.S. Bank N.A.* (2005) 127 Cal.App.4th 1138, 1144, which imposes liability where one knows of another's fraud and substantially assists in its commission.

(Complaint ¶¶ 13-23, 32-34, 36-38, 53-54.)

While

each of the causes of action are alleged against multiple defendants, the Complaint clearly delineates the role each defendant is alleged to have played. As such, the Court does not find the Complaint uncertain. Because uncertainty is the only ground upon which Marcaccini demurs to the third cause of action for conversion, the Court overrules the demurrer to the third cause of action.

B.

FAILURE TO STATE A CAUSE OF ACTION

i.

First Cause

of Action – Quiet Title/Declaratory Relief

A complaint for quiet title must be verified and include (1) a description of the property, including both its legal description and street address or common designation; (2) the title of the plaintiff as to which a determination is sought and the basis of that title; (3) the adverse claims to the title of the plaintiff which a determination is sought; (4) the date as of which the determination is sought; and (5) a prayer for the determination. (Code Civ. Proc., § 761.020.)

Here, the Complaint is verified and Plaintiff alleges:

26. Under Code of Civil Procedure § 760.010

et seq., any person claiming an estate, title, or interest in real property may bring an action to determine adverse claims thereto and to obtain a judicial declaration of rights. This cause of action also seeks declaratory relief pursuant to Code Civ. Proc. § 1060 to establish the respective interests of the parties in the proceeds derived from the sale of the subject property.

27. Plaintiff Dorothea ("Dorina")

Schiro owns and has continuously owned a 33 1/3 % percent beneficial interest in Unit 703B, Ocean Towers Housing Corporation, 201 Ocean Avenue, Santa Monica, California 90402 (APN 4293-020-043) through the Gelato Trust, an ownership trust created in 2005. The Trust's beneficial ownership was divided equally among Plaintiff, Giancarlo Marcaccini, and John Spahi.

28. On March 20, 2008, Marcaccini was

formally removed as trustee of the Gelato Trust by written instrument recorded in the Trust's internal records. Despite his removal and lack of authority, on or about August 2025, Marcaccini executed a purported quitclaim deed purporting to convey the Gelato Trust's interest in Unit 703B. That deed is void ab initio, having been executed by a nontrustee without capacity or legal authority. (Safeco Title Ins. Co. v. Moskopoulos (1981) 116 Cal.App.3d 658, 666 [deed executed without authority conveys nothing].)

29. Defendants Commonwealth Land Title

Insurance Company and Peninsula Escrow, Inc., despite knowledge or ready means of knowledge that John Spahi was the current trustee, instructed and accepted recordation of the invalid quitclaim to clear title for closing. By knowingly recording and relying upon a void instrument, Defendants created and

perpetuated a cloud on Plaintiff's beneficial title and on her right to receive her proportional share of the sale proceeds. Their actions introduced uncertainty into the chain of title and impaired Plaintiffs marketable interest and trust distribution rights.

30. Plaintiff therefore seeks a judicial declaration (a) quieting title to her 33 1/3 percent beneficial interest in Unit 703B and its corresponding sale proceeds; (b) declaring the Marcaccini quitclaim deed void and of no effect; and (c) confirming that Defendants have no valid or adverse claim to Plaintiff's beneficial or monetary interest. Plaintiff further requests such other and further equitable relief as the Court deems proper to remove the cloud on title, restore her property rights, and ensure that the official records reflect her continuing interest under the Gelato Trust.

Marcaccini argues that the allegations are insufficient because the allegations include only the common street address for the property, and not the legal description; fail to describe Plaintiff's claimed ownership in the property and how it was obtained; fail to specify what claim each defendant is making that conflicts with Plaintiff's ownership, and state Marcaccini quitclaimed any interest he may have had to John Spahi.

The Court agrees that the Complaint fails to allege the legal description of the property in question, and Plaintiff's claimed ownership interest and how it was obtained. The Court disagrees, however, that the Complaint fails to specify the claim each defendant is making that is adverse to Plaintiff's ownership or that Marcaccini's subsequent quitclaim affects Plaintiff's claim that Marcaccini improperly used the property to pay off his own debt.

Therefore, the Court sustains Marcaccini's demurrer to the first cause of action.

ii.

Second Cause

of Action – Constructive Trust and Accounting

The elements for the imposition of constructive trust are: (1) the existence of a res; (2) the right of the complaining party to that res; and (3) some wrongful acquisition or detention of the res by another party not entitled

to it. (Communist Party v. 522

Valencia, Inc. (1995) 35 Cal.App.4th 980, 990.)

“An action for an accounting has two elements: (1) that a relationship exists between the plaintiff and defendant that requires an accounting and (2) that some balance is due the plaintiff that can only be ascertained by an accounting.” (Sass v. Cohen (2020) 10 Cal. 5th 861, 869 [cleaned up].)

Here, Plaintiff alleges:

32. At all relevant times, the escrowed sum of \$78,167 constituted Plaintiff's one-third beneficial share of the sale proceeds from Unit 703B, Ocean Towers Housing Corporation. Those funds were segregated and held by Peninsula Escrow, Inc. at the direction of Commonwealth Land Title Insurance Company, which instructed that no distribution be made to Plaintiff pending resolution of title issues it had itself created. Under Civil Code § 2224, any person who gains a thing by fraud, accident, or mistake, or who in any manner obtains property of another without legal justification, becomes an involuntary trustee of the property for the benefit of the rightful owner. Defendants' possession of Plaintiff's funds, obtained through the fraudulent quitclaim and their own negligent or willful acts, gives rise to such a constructive trust.

33. Defendant Giancarlo Marcaccini, having been removed as trustee in 2008, procured the recording of a void quitclaim deed in 2025 to enable payoff of his personal loan secured by the property. In reliance upon and participation in that act, Commonwealth directed Peninsula to accept and record the invalid deed, clear title, and close the escrow. By doing so, Commonwealth and Peninsula each benefited from the transaction through the collection of title-insurance premiums, escrow fees, and related charges, while knowingly depriving Plaintiff of her rightful proceeds. Their retention and use of those proceeds constitute unjust enrichment and render them constructive trustees under California equity principles.

34. Equity demands that a constructive trust be imposed upon the \$78,167 and all interest or profits derived therefrom for the benefit of Plaintiff, and that Defendants be compelled to provide a full accounting of all funds received, disbursed, or retained in connection with the sale of Unit 703B. Absent such relief, Defendants will continue to be unjustly

enriched at Plaintiffs expense, and the purposes of Civil Code § 2224 and fundamental equity will be defeated.

(Complaint

¶¶ 32-34.)

Marcaccini argues that because Plaintiff alleges a sum certain, an accounting is not warranted. In support, Marcaccini cites to *Teselle v. McLoughlin* (2009) 173 Cal.App.4th 156, 179, which explained “[a]n action for accounting is not available where the plaintiff alleges the right to recover a sum certain or a sum that can be made certain by calculation.”

Although Plaintiff alleges damages of \$78,167, Plaintiff also requests “a full accounting of all funds received, disbursed, or retained in connection with the sale of Unit 703B.” (Complaint ¶ 34.) This suffices to allege there are additional sums owed to Plaintiff that can only be determined via an accounting.

iii.

Sixth Cause

of Action – Fraud and Aiding & Abetting

“In California, fraud must be pled specifically; general and conclusory allegations do not suffice.” (*Lazar v. Superior Court* (1996) 12 Cal.4th 631, 645.) “This particularity requirement necessitates pleading facts which show how, when, where, to whom, and by what means the representations were tendered.” (*Ibid.*)

“One of the purposes of the specificity requirement is notice to the defendant, to furnish the defendant with certain definite charges which can be intelligently met.” (*Alfaro v. Community Housing Improvement System & Planning Assn., Inc.* (2009) 171 Cal.App.4th 1356, 1384.) As such, less specificity is required “when it appears from the nature of the allegations that the defendant must necessarily possess full information concerning the facts of the controversy[.]” (*Ibid.*) “Even under the strict rules of common law pleading, one of the canons was that less particularity is required when the facts lie more in the knowledge of the opposite party.” (*Ibid.*)

The elements for fraudulent misrepresentation are “(1) the defendant represented to the plaintiff that an important fact was true; (2) that representation was false; (3) the defendant knew that the representation was false when the defendant made it, or the defendant made the representation recklessly and without regard for its truth; (4) the defendant intended that the plaintiff rely on the representation; (5) the plaintiff reasonably relied on the representation; (6) the plaintiff was harmed; and (7) the plaintiff’s reliance on the defendant’s representation was a substantial factor in causing that harm to the plaintiff.” (Graham v. Bank of America, N.A. (2014) 226 Cal.App.4th 594, 605–606.)

Plaintiff alleges:

53. Primary Fraud by Marcaccini. Defendant

Giancarlo Marcaccini falsely represented, both orally and in writing, that he was the acting trustee of the Gelato Trust and possessed authority to execute a quitclaim deed relinquishing the Trust’s interest in Unit 703B. He knew this representation was false, having been formally removed as trustee by written instrument on March 20, 2008. Marcaccini executed the 2025 quitclaim deed for the purpose of causing title to be cleared and enabling the payoff of his personal mortgage loan from escrow proceeds. His misrepresentation was deliberate, material, and made with intent to deceive both the title insurer and escrow holder so the sale could close

(Complaint

¶ 53.)

Marcaccini argues this is insufficient because Plaintiff does not allege how Marcaccini knew the alleged misrepresentation was false. To the contrary, Plaintiff alleges:

14. Removal of Marcaccini (2008). By

instrument dated March 20, 2008, Spahi removed Marcaccini as trustee and accepted full fiduciary control. The removal was communicated to Marcaccini and acknowledged by him.

(Complaint

¶ 14.)

Notwithstanding, the Complaint lacks specific facts about when and how the removal was communicated to Maraccini. Without these facts, the Court agrees that the Fraud claim is insufficiently pled.

2.

LEAVE TO AMEND

A

plaintiff has the burden of showing in what manner the complaint could be amended and how the amendment would change the legal effect of the complaint, i.e., state a cause of action. (See *The Inland Oversight Committee v. City of San Bernardino* (2018) 27 Cal.App.5th 771, 779; *PGA West Residential Assn., Inc. v. Hulven Int'l, Inc.* (2017) 14 Cal.App.5th 156, 189.) A plaintiff must not only state the legal basis for the amendment, but also the factual allegations sufficient to state a cause of action or claim. (See *PGA West Residential Assn., Inc. v. Hulven Int'l, Inc.*, supra, 14 Cal.App.5th at p. 189.) Moreover, a plaintiff does not meet his or her burden by merely stating in the opposition to a demurrer or motion to strike that “if the Court finds the operative complaint deficient, plaintiff respectfully requests leave to amend.” (See *Major Clients Agency v Diemer* (1998) 67 Cal.App.4th 1116, 1133; *Graham v. Bank of America* (2014) 226 Cal.App.4th 594, 618 [asserting an abstract right to amend does not satisfy the burden].)

Here, Plaintiff

contends that to the extent the Court sustains any portion of the demurrer, Plaintiff can plead additional facts and include documentary evidence to substantiate the claims. The Court generally agrees that the deficiencies above can all be cured by amendment. Therefore, the Court grants Plaintiff’s request for leave to amend.

CONCLUSION AND ORDER

For the reasons stated, the Court overrules Marcaccini’s demurrer to second and third causes of action, but sustains with leave to amend Marcaccini’s demurrer to the first and sixth causes of action.

Further, the Court orders Plaintiff to file and serve a verified First

Amended Complaint in conformity with this ruling on or before August 4, 2026.

Further, the Court will enter the proposed Order lodged on May 21, 2026 in conformity with the ruling.

Marcaccini shall provide notice of the Court's Order and file the notice with a proof of service forthwith.

DATED: July 21, 2026 _____/s/ _____

Michael
E. Whitaker

Judge
of the Superior Court